

VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Macro Overview:

The Fed cut rates by 0.25% and signaled that this could be its last interest cut in the short-term. It was a very contested vote, as the committee disagreed on which should be the priority, the labor market or inflation. The overall stock market didn't react to it, as it had already priced in the cut. There has been a divergence between the DOW and the S&P500, as boring companies like depot celebrated the interest cut. These boring companies do not get affected by the AI sentiment and borrow a lot of money to operate. They only care about having a lower borrowing cost to fund their operations.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	-0.17%	+0.95%
TSX	+0.88%	+0.68%
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.153%	4.108%
Canada 10 Year Bond Yield	3.437%	3.267%

Canadian Inequality Through the Decades

Author, Source & Date Published: Kelly Foley, David A. Green, and W. Craig Riddell
Submitted March 2024

Link: [Stone Centre on Wealth and Income Inequality Article](#)

Overview:

This week we look at an article published at the heart of UBC campus itself, the Vancouver School of Economics Stone Centre on Wealth and Income Inequality. The authors analyze the trends in Canadian income inequality over the last four decades and posit that the evolution of earnings inequality in Canada is best explained by structural shifts in the labour market. This is unlike the prevalent explanations in other developed economies such as the UK and US where globalization, trade and technology tend to make up the forefront of factors influencing income inequality.

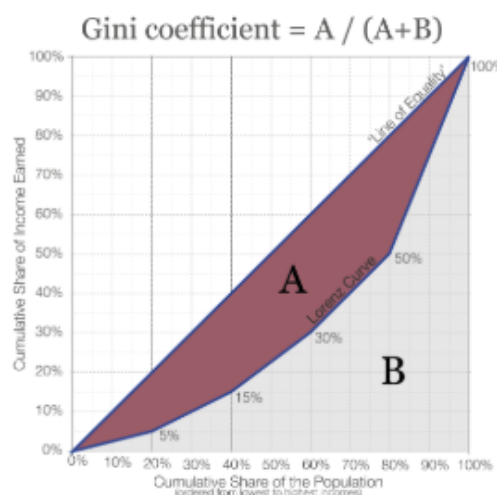
Key Takeaway:

- The analysis begins in 1982 when **severe periods of recession in early 1980s and 1990s increased market income inequality as measured by the Gini coefficient.** Market income for a household is essentially total income and does not include government transfers, it primarily consists of employment income.

Educational Angle: How is the Gini coefficient calculated?

The Gini coefficient is an all too familiar concept in inequality studies. It can be used to understand inequality with a range of variables such as income, wealth or even life expectancy. But where does it come from and how is it calculated?

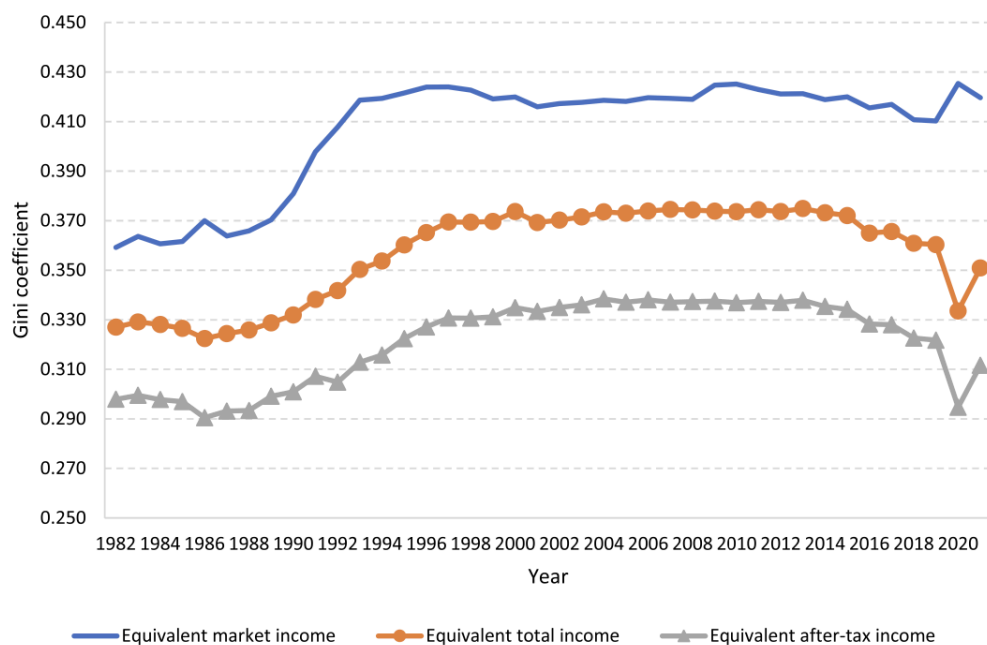
The Gini coefficient was developed by Italian statistician Corrado Gini, and there are a few different methods to calculate it. The most common is with the **Lorenz Curve**.



Licensed by Author Max Rose

The graph above shows two different distributions, one where income distribution is completely equal (the 45 degree line) and the Lorenz Curve which captures the actual income distribution within an economy. **The Gini coefficient captures how far from the Line of Equality the Lorenz Curve falls as shown by the area A.** Were there perfect equal distribution, the area would be equal to 0 as the two lines would overlap one another.

- Using this measure, the authors find that while inequality in Canada grew over the recessions, **the Gini coefficient has plateaued at this higher level remaining stable between 1995 and 2019.**



Source: Foley, Green, and Riddell

- The authors look at a series of factors that may explain the graph above. They find that the **demand for low-skill workers in the early 1990s decreased** and is parallel to the inequality trend during this same period. This **signals an endogenous technological shift** wherein higher educational attainment pushed firms to demand high-skilled labour.
- While other forces such as demographic change through immigration and institutional changes such as the minimum wage and lower unionization in the labour market are present, the **primary explanatory force continues to be the structural changes of the early 1990s in labour markets.**
- Perhaps the most important finding is that the **taxation and redistributive programs across Canada have played a significant role in reducing inequality since the 1990s.**

- This explanation **does not completely reject the role of globalization and trade, especially as they act through the channel of resource abundance**, but rather that the trend seen in Canada (and often absent in countries such as the United States) stems from labour markets and redistribution programs more than anything else.

Why does this matter?

Despite the fact that the Gini coefficient rose in the 1980s and remained at that higher level, seeing it plateau and not increase further as it has in economies such as the United States or the United Kingdom has important economic implications. While many studies focus on trade and technology, the article suggests that considering structural shifts in labour markets may be a more relevant factor for future researchers. It is fascinating to think that **despite the existence of such formidable forces such as globalization and technological advancement, the dynamics of labour markets continue to be a powerful determinant of the direction of inequality**. In the past few years, the AI boom has raised concerns about the structural changes that are bound to follow in labour markets. Articles of this nature further reinforce just how unequivocally important labour is to ensure an equal society; and how the future of labour may be the future of equality itself. There are many aspects of our rapidly-changing world that require attention, labour is certainly at the top of that list.

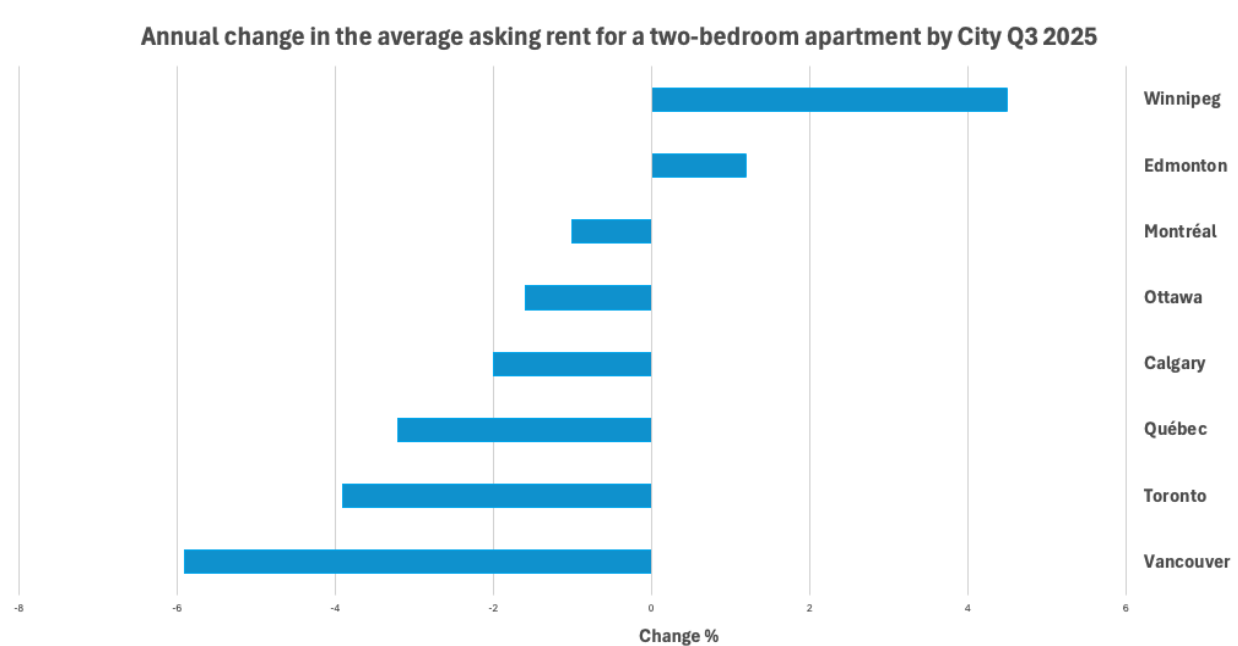
Canada's Real Estate Correction

Author, Source & Date Published: Paula Sambo, November 2011

Link: [Bloomberg Article](#)

Overview:

The Canadian real estate market is currently deep in a "reset," with home prices **down 17% from their peak**. Amidst this downturn, Forgestone Capital is launching a new fund targeting C\$400 million to take advantage of what they see as a "huge chasm" in the property-finance market.



VSEUS, internal creation, 2025. Source: [Stats Canada](#)

Rents dropped in most major cities, led by sharp declines in Vancouver and Toronto, while rising only in Winnipeg and Edmonton.

Risk:

- Despite recent price corrections in major cities, deep affordability issues remain a primary constraint. Specifically in Vancouver severe affordability challenges are expected to constrain buyers' ability to bid higher for some time.

Catalyst:

- A recovery is anticipated to emerge gradually as overall economic momentum builds and employment conditions stabilize potentially into early 2026.

Educational Angle:

Why is the Canadian Market bleeding cash?

The Canadian real estate market shows Negative Leverage, which is when the money you borrowed costs more than the money the building earns.

- **The Cost:** Mortgage rates are around 5-6% (commercial/investment loans).
- **The Return:** The article says rents are *dropping* in Toronto/Vancouver. This lowers the return to maybe 3%.

As a consequence, **the investor is paying 6% to earn 3%**. Every month, they have to reach into their own pocket to pay the bank difference. Normally, investors would be willing to tolerate this short-term loss if real-estate prices are increasing. However, this is not the case. **Investors are losing money in cash flow and in capital depreciation.** Investors are desperate to get out of this bleeding situation and **this is when it could be a good opportunity to enter the market (at a discounted rate).**